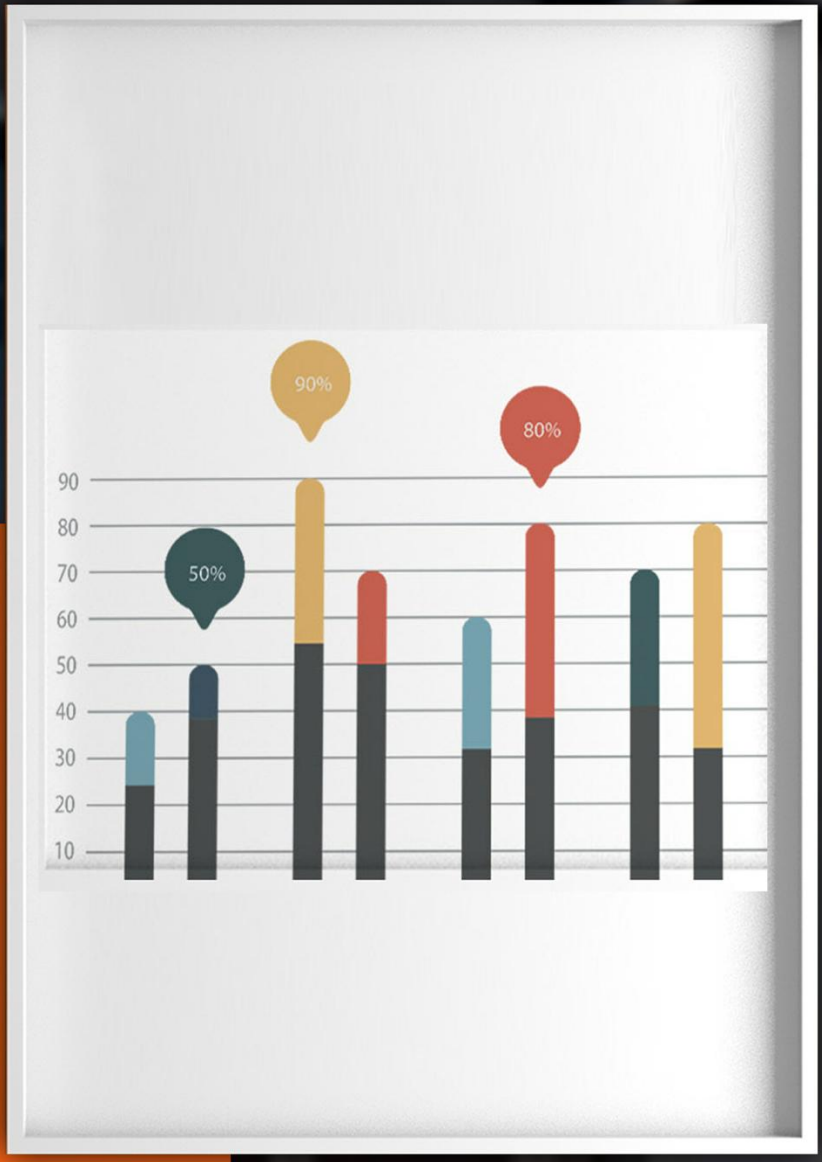
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AIB-AXYS Africa Primary Bond Auction Note

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AIB-AXYS June 2025 Primary Bond Auction Note

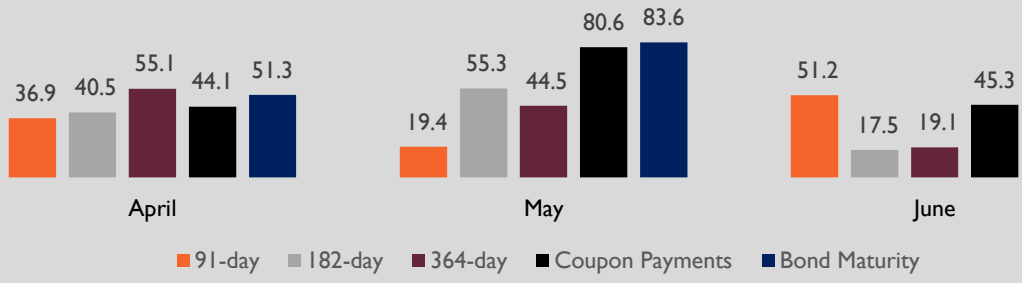
Summary – "Strained Revenues, Shifting Yields"

- **The Exchequer is seeking to raise KES 50.00Bn through the re-opening of the FXD1/2020/015 & SDB1/2011/030** treasury bonds earmarked for budgetary support in FY24/25.
- **Revenue underperformance is expected to remain a significant challenge for the exchequer as it strives to meet its FY24/25 targets.** As of April 30th, collections had achieved only 75% of the full-year target, suggesting that the government is unlikely to meet its revised projections. Furthermore, anticipated World Bank funding is now expected to be delayed into the next fiscal year due to the postponement of the approval of the Conflict-of-Interest Bill, resulting in a KES 96.8Bn gap in expected inflows. Against this backdrop, we expect continued push-and-pull dynamics in the domestic debt market, with investors likely to demand higher returns to capitalize on the government's increased borrowing needs to cover these revenue shortfalls. However, the easing monetary policy environment—marked by the recent 25bps rate cut—is expected to exert some downward pressure on yields, limiting their potential upside.
- **The weighted average tenor to maturity of the Fixed Income Bond (FXD) series stands at c. 7.49 years.** Further, the government has approximately **KES 133.10Bn** worth of treasury bill redemptions, coupon repayments, and bond maturities due in June 2025.

Table 1: Key Auction Highlights

FXD1/2020/015 & SDB1/2011/030	
Issuer:	Republic of Kenya
Total Amount:	KES 50 billion
Purpose:	Budgetary Support FY24/25
Tenor:	**FXD1/2020/015**- (9.7 Years) – Re-opened **SDB1/2011/030**- (15.7 Years) – Re-opened
Coupon Rate:	**FXD1/2020/015** – 12.7560% **SDB1/2011/030** – 12.0000%
Price Quote:	Discounted/Premium/Par
Period of sale:	10-June-2025 to 18-June-2025
Minimum Amount:	KES 50,000.00
Taxation:	10.00% Withholding Tax
Maturity Dates:	**FXD1/2020/015** – 5-February-2035 **SDB1/2011/030**- 21-January-2041
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD1/2020/015**– 13.46%-13.66% **SDB1/2011/030**– 13.81%-14.01%

Chart 1: Governmnent Obligations Q2 2025 (KES Bn)



Source: CBK, AIB-AXYS Africa Research

Term Structure of Interest Rates

In May, the yield curve continued to ease—a trend expected to persist following the Monetary Policy Committee's recent 25bps rate cut to 9.75%. The Central Bank's dovish stance, which is aimed at stimulating private sector lending, is starting to yield results, with private sector credit growth rising to 2.0% in May from 0.4% in April—a trend we expect to continue in the near term. Additionally, the easing monetary policy environment has contributed to a decline in yields on government securities, reducing the exchequer's debt servicing costs. However, this decline has recently shown signs of stalling due to increased domestic borrowing as the government moves to bridge its revenue shortfall. Looking ahead, while the recent rate cuts by the CBK may exert further downward pressure on interest rates, we believe the scope for significant declines appears limited. This is because the government is expected to maintain its reliance on the domestic debt market to finance its budget deficit, with this trend expected to persist, as the FY25/26 budget estimates point to a higher domestic borrowing target.

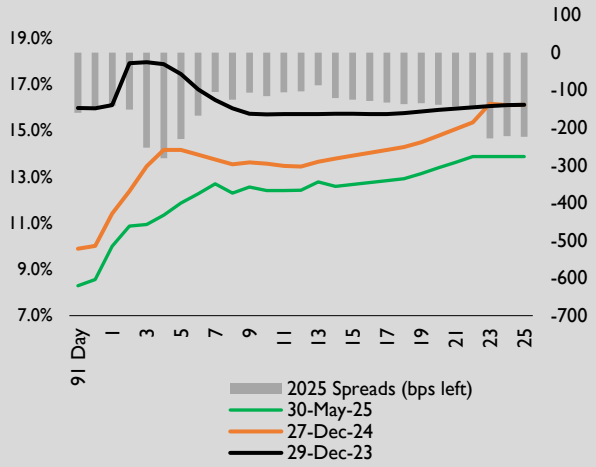
Market Liquidity

Interbank lending activity contracted by 48.2% m/m in May, extending the downward trend observed in the previous month. Similarly, the average interbank lending rate declined by 31bps to 9.86%. This drop is largely attributed to the additional liquidity injected into the banking system following the 100bps reduction in the Cash Reserve Ratio (CRR), which has reduced the need for banks to borrow in the interbank market. Moreover, the effects of the ongoing monetary policy easing—including recent interest rate cuts—continue to permeate the market, exerting further downward pressure on interbank rates. We expect this trend to persist in the near term, especially following the Monetary Policy Committee's 25bps rate cut at the start of the month, which is likely to sustain the downward trajectory of interbank rates.

Price Levels

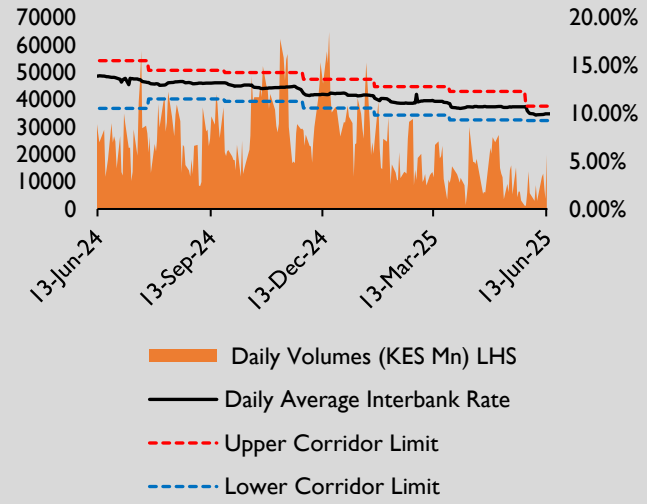
Latest statistics from the Kenya National Bureau of Statistics indicate that the annual headline inflation rate, as measured by the Consumer Price Index (CPI), slowed by 30 bps to 3.8% in May 2025 from 4.1% in April. This was an improvement on a yearly basis compared to the inflation rate of 5.0% recorded in May 2024. The increase in inflation was driven by a 0.3% rise in core inflation (Non-Food Non-Fuel) to 2.8% from 2.5% in April. At the same time, food inflation eased by 0.8% to 6.3% from 7.1% in April, while fuel inflation remained unchanged at 0.8%. Going forward, we expect inflation to remain moderate within the CBK's target range, supported by a stable currency, strong foreign reserve buffers, and favorable weather conditions, facilitating further rate cuts by the CBK.

Chart 2: Domestic Yield Curve Evolution



Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels

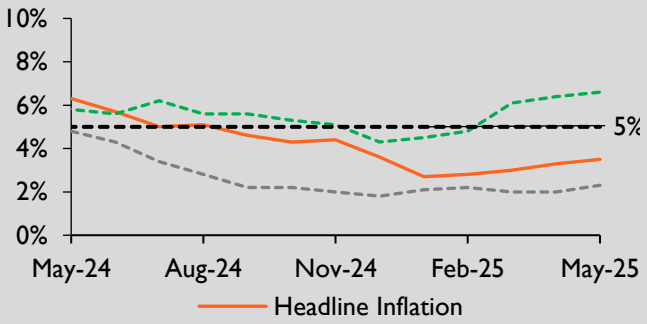
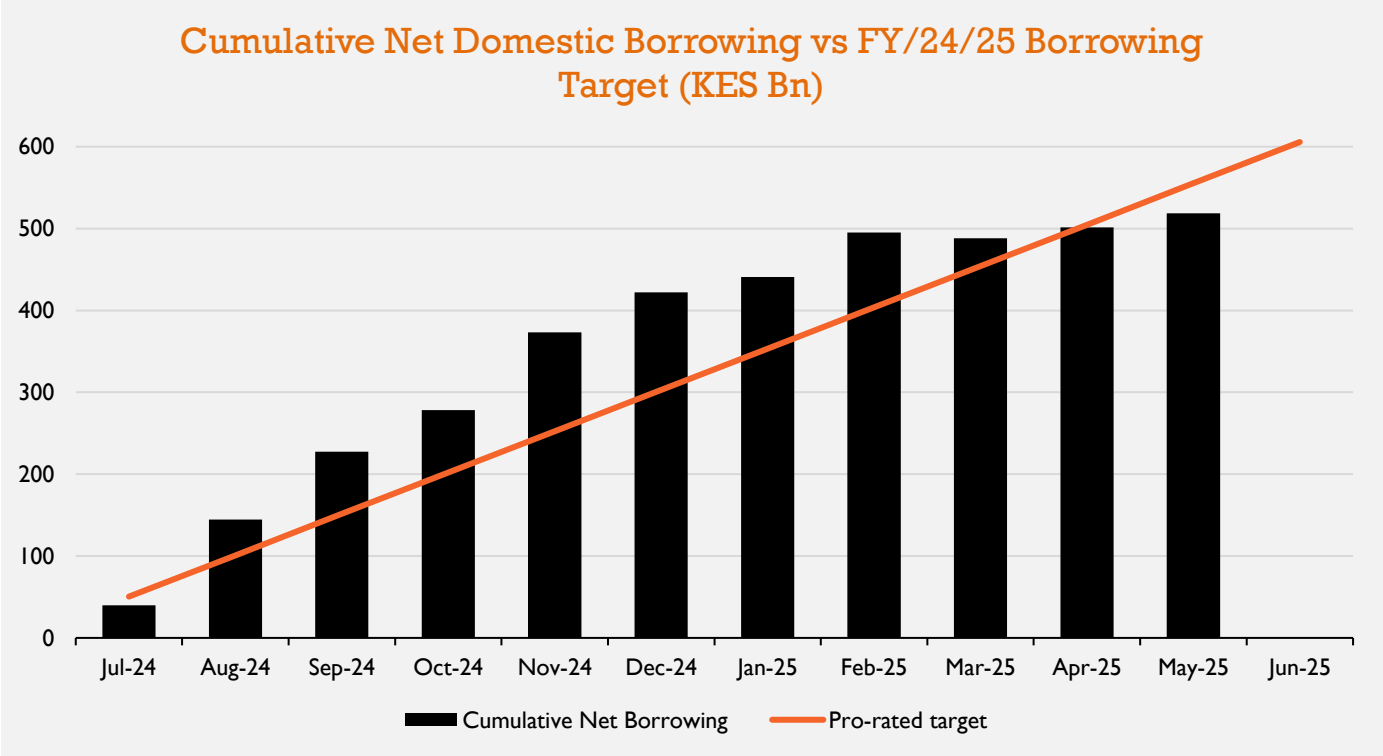


Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD1/2020/015- (9.7 Years)					
FXD3/2019/015	10-Jul-34	9.1	53,919.80	12.3400%	12.4159%
FXD1/2020/015	**5-Feb-35**	**9.7**	**94,038.42**	**12.7560%**	**12.4157%**
FXD1/2010/025	28-May-35	10.0	20,192.50	11.2500%	12.4156%
Comparable Yields for the SDB1/2011/030- (15.6 Years)					
FXD1/2019/020	21-Mar-39	13.8	83,350.00	12.8730%	11.5000%
SDB1/2011/030	**21-Jan-41**	**15.6**	**28,144.70**	**12.0000%**	**12.4724%**
FXD1/2021/020	22-Jul-41	16.1	75,984.00	13.4440%	12.4800%

Source: CBK, AIB-AXYS Africa Research



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)	Deviation from Yield Curve
Jun-24	30,000	FXD1/2023/002 - Re-opened	1.2		16.972%	17.187%	17.123%	37.25
		FXD1/2024/003 - Re-opened	2.6	**102.9%**	18.385%	17.627%	17.586%	40.47
	30,000	FXD1/2023/005 - Re-opened	4.1		16.844%	18.277%	18.165%	85.81
		FXD1/2023/010 - Re-opened	8.7	**138.5%**	14.151%	16.571%	16.392%	163.34
	20,000	FXD1/2023/002 - Tap Sale	1.2		16.972%			
		FXD1/2024/003 - Tap Sale	2.6		18.385%			
		FXD1/2023/005 - Tap Sale	4.1		16.844%			
		FXD1/2023/010 - Tap Sale	8.7	**125.7%**	14.151%			
Jul-24	20,000	FXD1/2023/002 - Tap Sale	1.2	**2.4%**	16.972%			
	30,000	FXD1/2024/010 - Re-opened	9.7		16.000%	16.636%	16.592%	166
		FXD1/2008/020- Re-opened	3.9	**48.9%**	13.750%	18.475%	18.290%	53
Aug-24	50,000	IFB1/2023/6.5 - Re-opened	5.8		17.933%	18.469%	18.299%	76.58
		IFB1/2023/17 - Re-opened	15.7	**252.6%**	14.399%	18.158%	17.728%	32.39
Sep-24	15,000	IFB1/2023/17 -Tap Sale	15.7	**234.6%**	14.399%			
	30,000	FXD1/2024/010 - Re-opened	9.5		16.000%	16.972%	16.870%	17.82
		FXD1/2016/020 - Re-opened	12.0	**75.5%**	14.000%	17.349%	17.285%	175.8
Oct-24	30,000	FXD1/2016/010 Re-opened	1.8		15.039%	17.064%	16.984%	14
		FXD1/2022/010 Re-opened	7.6	**169.9%**	13.490%	17.340%	16.952%	1
	15,000	FXD1/2022/010 Tap sale	7.6	**110.0%**	13.490%			
Nov-24	25,000	FXD1/2023/010 Re-opened	8.3		14.151%	16.150%	15.972%	-17
		FXD1/2022/015 Re-opened	12.5	**132.2%**	13.942%	16.385%	16.299%	-21
	20,000	FXD1/2024/010 Re-opened	9.4	**277.9%**	16.000%	16.113%	15.855%	25
Dec-24	25,000	FXD1/2023/010 Re-opened	8.2		14.151%	14.864%	14.691%	84
		FXD1/2018/020 Re-opened	13.3	**285.3%**	13.200%	15.271%	15.112%	85
	20,000	FXD1/2024/010 Re-opened	9.3	**268.1%**	16.000%	14.782%	14.685%	4
Jan-25	30,000	FXD1/2018/015 Re-opened	8.3		12.650%	14.329%	14.210%	75
		FXD1/2022/025 Re-opened	22.8	**196.7%**	14.188%	15.743%	15.683%	8
Feb-25	70,000	IFB1/2022/014 Re-opened	11.8		13.938%	14.086%	13.978%	27
		IFB1/2023/017 Re-opened	15.1	**277.0%**	14.399%	14.416%	14.281%	118.5
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%	51
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%	82.39
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%	124.3
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%	65.33
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%			
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%	145.42
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%	130.24
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%	137.9
Average*	**35,313**		**10.6**	**175.7%**	**14.621%**	**15.871%**	**15.747%**	**68.570**

*Source: CBK, AIB-AXYS Research, * - Yearly average results excludes tap sales*

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